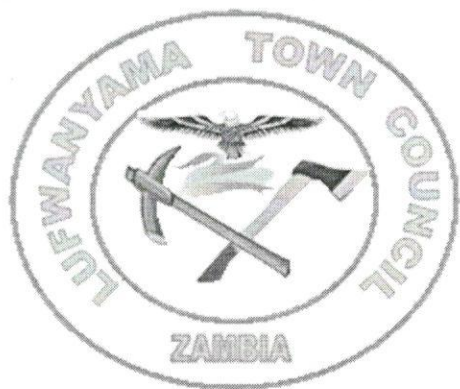




LUFWANYAMA TOWN COUNCIL

**ANNUAL FINANCIAL REPORT
FOR THE YEAR ENDED
31ST DECEMBER 2024**

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2024 which disclose the sources, utilization and balances of cash for Lufwanyama Town Council during the period under review.

Background and Location of the Council

Lufwanyama District is on the Copperbelt Province of Zambia sharing borders with eight (8) other districts being, Kalulushi, Kitwe, Masaiti, Mpongwe, Luanshya, Kasempa, Chingola and Solwezi. The district provides a direct connection to towns in the North-Western Province including Kasempa, Kabompo, Zambezi and Chavuma through the Kalengwa-M18 road. The major source of income of the local people is mainly from small scale farming, fishing and mining.

Lufwanyama is found in the western part of the Copperbelt Province. It lies between latitudes 13°44' and 12°20' south of the Equator. Longitudinally, it lies between 26°10' East.

The administrative centre lies in the protected forest area of the Lamba Headwaters Block-A, along the Kalengwa-M18 road, 580 Kilometre (Km) from Lusaka, the capital city of Zambia, 137 Kilometre (Km) from Ndola, the Provincial Headquarter, 65 Kilometre (Km) west of Kitwe, 55 Kilometre (Km) west of Kalulushi and 2 Kilometre (Km) east of the Lufwanyama River Bridge.

Lufwanyama is the largest districts on the Copperbelt Province, covering an area of 7880 Square Kilometre (Km) of the provincial total area of 31,328 Kilometre (Km). It accounts for 31.4 percent of the provincial landmass.

The District has three (3) main rivers namely the Luswishi, Katembula and Lufwanyama rivers, which are tributaries of the Kafue river, which forms the boundary between Lufwanyama and the eastern and South-eastern District in the province. These rivers receive water from the numerous perennial streams, which form an extensive network of rich water resources the district is endowed with. These include the Kabundia, Sokontwe, Luella, Kansoka, Lumwana, Mubende, Mitwe, Chapula, Kasho, Kafubu and Funda.

The address of the registered office of Lufwanyama Town Council (LTC) is as follows:

The Civic Centre
Kalengwa Road
P O Box 260500
Lufwanyama

REPORT OF THE COUNCIL

Composition of the Council

Lufwanyama Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No.2 of 2019. As a Local Authority, the Town Council administers the Lufwanyama District.

The Council is composed of an elected Council Chairperson, twenty (20) elected Councillors from twenty (20) wards, and three (3) chiefs as provided for under Article 153 (2)(c) of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Chairperson was elected from among the Councillors in 2024 for the period of two and half years.

The Councillors who held office during the year were:

S/N	NAME	GENDER	POSITION	WARD
1	Annie Kapandula	Female	Council Chairperson	Not applicable
2	Gilbert Mukombola	Male	Deputy Council Chairperson	Chinemu
3	Renox Kaseka	Male	Councillor	Sokontwe
4	Patson Sikwimba	Male	Councillor	Kabundia
5	Graham Sawalonga	Male	Councillor	Luswishi
6	Zolile Zimba	Male	Councillor	Mibenge
7	Lungebe Nickson	Male	Councillor	Mwelushi
8	Chooye Himaluwani	Male	Councillor	Lwabufubu
9	Chola Damson	Male	Councillor	Kafubu
10	Mwashi Matela	Male	Councillor	Mushingashi
11	Katiki Angel	Male	Councillor	Milopa
12	Mukinina Stephen	Male	Councillor	Kansanta
13	Lee Mukazo	Male	Councillor	Kansonka
14	Mushikita Earnest	Male	Councillor	Mukumbo
15	Choosa Derrick	Male	Councillor	Bulaya
16	Moses Kazeka	Male	Councillor	Chantete
17	Edward Kapandula	Male	Councillor	Katembula
18	Soul Kapepa	Male	Councillor	Lufwanyama
19	Chola Kanda	Male	Councillor	Mpindi
20	Martin Mulambo	Male	Councillor	Mitwe
21	Chewe Kabanda	Female	Councillor	Chibanga
22	Rodson Mwale	Male	Chief	Mukutuma Chiefdom
23	Yani Mabenga	Female	Chieftainess	Shimukunami Chiefdom
24	Godfrey Shamanena	Male	Senior Chief	Nkana Chiefdom

The District also has one (1) elected Member of Parliament for Lufwanyama constituency. The Member of Parliament who held office during the year was:

REPORT OF THE COUNCIL

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Siachisumo	Male	Lufwanyama

The District Commissioner coordinates the affairs of Central Government in the District. During the year under review Mr. Justine Mwalikwa was the District Commissioner for Lufwanyama District.

The Council Secretariat

The Council Secretary heads the Secretariat of Lufwanyama Town Council. The Local Government Service Commission appoints the Council Secretary and the rest of the Secretariat.

Four (4) Directors responsible for Finance, Planning, Works, and Administration, and two (2) Heads of Units namely Procurement and Internal Audit assist the Council Secretary.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial	2024 Kwacha	Results 2023 Kwacha
Cash Receipts	75,284,585	60,226,089
Payments	80,408,581	-66,576,384
Increase/(Decrease) in Cash and Cash Equivalents	-5,123,996	-6,350,295

Key Policies Adopted During the Year

The Council did not adopt any policy during the year

Related Party Transactions

There were no related party transactions during the financial year.

Property, Plant and Equipment

The Council invested in property, plant and equipment amounting to K29 659 083 during the Financial year Ending 31st December 2024

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The number of employees at the beginning of the year was 122 and the number of employees at the end of the year was 127. The total amount spent on employees' remuneration and welfare during the year was K17 059 207

REPORT OF THE COUNCIL

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council incurred cost of K617 762 in relation to sponsoring various sporting activities

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No.2 of 2019, the Auditor-General audits the Council.

By order of the Council

Signature: A. Kapandola

Name: ANNIE KAPANDOLA

Position: Council Chairperson

Date: 13.11.2025

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lufwanyama Town Council is responsible for preparing the financial statements for the year ended 31st December 2024 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2020, and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor General has audited the financial statements, and his report is shown on pages 7 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of Cap 281 of the Laws of Zambia, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2018.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lufwanyama Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December 2024

Signed on behalf of the Council on by;

Name..... LYNDA MAPARA

Signature: 

Position: Council Secretary

Name: ANNIE KAPANDOLA

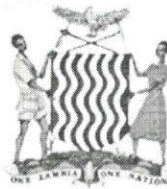
Signature: 

Position: Council Chairperson

Name..... Bwalya Machuta

Signature..... 

Position: Director Finance



REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

STAND No.7951

HAILE SELASSIE AVENUE,
LONGACRES

P.O BOX 50071

LUSAKA, ZAMBIA

E-mail: auditorg@ago.gov.zm

Website: www.ago.gov.zm

Telephone: +260252611/252771

To: The Minister – Ministry of Local Government and Rural Development

**Report on the Audit of the Financial Statements for Lufwanyama Town Council for the
Financial Year Ended 31st December 2024**

Opinion

I have audited the financial statements of the Lufwanyama Town Council for the financial year ended 31st December 2024 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying financial statements of Lufwanyama Town Council present fairly, in all material respects, its Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local

Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and balances for the year ended 31st December 2024 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of my report. I am independent of Lufwanyama Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

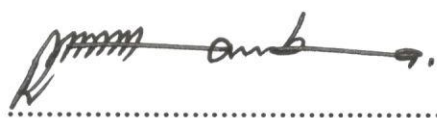
I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

The Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) using Cash Basis IPSAS in line with the LAAPS.



.....

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE

ACTING AUDITOR GENERAL

DATE: 17/11/2025

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED
31ST DECEMBER 2024**

		2024 Kwacha	2023 Kwacha
RECEIPTS			
Local Taxes	2	17,669,598	15,996,210
Fees and Charges	3	3,968,778	2,881,426
Licences	4	498,966	108,418
Levies	5	269,426	765,773
Permits	6	615,632	232,149
Local Government Equalisation Fund	7	10,484,285	10,088,200
Constituency Development Fund	8	27,568,453	27,261,470
Devolution Sector grant	9	10,829,230	-
ZDSP Grant	10	2,694,737	-
Other Grants	11	77,100	2,085,025
Borrowings	12	-	-
Commercial Venture	13	26,723	87,801
Other Receipts	14	581,657	719,617
TOTAL RECEIPTS		75,284,585	60,226,089
PAYMENTS			
Personal Emoluments	15	17,059,207	11,463,871
Use of goods and services	16	28,955,556	19,358,112
Financial Charges	17	-	-
Social benefits	18	2,124,215	1,454,932
Non-Financial asset acquisition	19	29,659,083	28,285,622
Financial Assets	20	2,515,000	5,915,784
Loan Repayments	21	-	-
Other payments	22	95,520	98,063
TOTAL PAYMENTS		80,408,581	66,576,384
Increase/(decrease) in Cash		(5,123,996)	(6,350,295)
Foreign Exchange Losses	23	-	-
Cash at beginning of the year	24	16,162,362	22,512,657
Cash at the end of the year	25	11,038,366	16,162,362

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: LYNDA MAPARA

Signature: [Signature]

Position: Council Secretary

Name: Bwalya Machuts

Signature: [Signature]

Position: Director Finance

Name: ANNIE KAPANDOLA

Signature: [Signature]

Position: Council Chairperson

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2024**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	15,945,512	-	15,945,512	17,669,597	111%	(1,724,085)	-11
Fees and Charges	1,695,782	687,618	2,383,400	3,968,778	167%	(1,585,378)	-67
Licences	157,400	223,600	381,000	498,966	131%	(117,966)	-31
Levies	392,000	-	392,000	269,426	69%	122,574	31
Permits	320,680	260,000	580,680	615,632	106%	(34,952)	-6
Local Government Eq	11,152,232	-	11,152,232	10,484,285	94%	667,947	6
Lufwanyama CDF	30,635,642	-	30,635,642	27,568,454	90%	3,067,188	10
Devolution Grant	20,945,340	(8,877,282)	12,068,058	10,829,230	90%	1,238,828	10
ZDSP Grant	-	-	-	2,694,737			
Other Grants	1,884,891	-	1,884,891	77,100	4%	1,807,791	96
Borrowings	-	-	-	-		-	
Commercial Venture	-	-	-	26,723		(26,723)	
Other Receipts	395,000	25,000	420,000	581,657	138%	(161,657)	-38
TOTAL RECEIPTS	83,524,479	(7,681,064)	75,843,415	75,284,585	99%	558,830	1
PAYMENTS							
Personnel Emolument	19,006,709	(2,137,502)	16,869,207	17,059,207	101%	(190,000)	-1
Use of goods and serv	32,153,426	(1,345,150)	30,808,276	28,955,556	94%	1,852,720	6
Financial Charges	-	-	-	-		-	
Social benefits	3,492,463	-	3,492,463	2,124,215	61%	1,368,248	39
Non-financial assets	23,379,418	(3,398,412)	19,981,006	29,659,083	148%	(9,678,077)	-48
Financial Assets	3,492,463	-	3,492,463	2,515,000	72%	977,463	28
Loan Repayments	-	-	-	-		-	
Other payments	2,000,000	(800,000)	1,200,000	95,520	8%	1,104,480	92
TOTAL PAYMENTS	83,524,479	(7,681,064)	75,843,415	80,408,581	106%	(4,565,166)	-6
Increase/(Decrease in Cash		-		(5,123,996)	-		

The composition of budget adjustments and explanations of major variances are provided in note 25.

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2024

		2024 Kwacha	2023 Kwacha
RECEIPTS	Note		
Funding	7(a)	10,484,285	10,088,200
		-	
TOTAL RECEIPTS		10,484,285	10,088,200
PAYMENTS			
Operational Expenditure Payments:			
Salaries and Wages	7(b)	8,828,285	6,335,270
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		-	1,024,763
Goods and Services		-	-
Administrative Costs		1,656,000	834,833
Other Costs		-	-
Sub-Total		10,484,285	8,194,866
Capital Expenditure Payments:			
Infrastructre Development	7(c)	-	1,888,872
Rehabilitation Works		-	79,920
Asset Acquisition		-	-
Other Costs		461,315	-
Sub-Total		461,315	1,968,792
TOTAL PAYMENTS		10,945,600	10,163,658
Increase/(decrease) in cash		(461,315)	(75,458)
Cash at the beginning of the year		469,614	545,072
Cash at the end of the year		8,299	469,614

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2024**

		2024	Restated 2023
RECEIPTS		Kwacha	Kwacha
Funding	8(a)	27,568,453	27,261,470
Loan Repayments	8(b)	473,056	328,190
Other sources	8(c)	3,910	21,500
TOTAL FUNDING		28,045,419	27,611,160
PAYMENTS			
Infrastructure Development	8(d)	16,864,632	22,708,419
Rehabilitation Works & upgrades	8(e)	-	121,193
Asset Acquisition	8(f)	6,860,035	63,380
Rural Electrification	8(g)	-	183,496
Social Benefits	8(h)	2,124,215	1,454,932
Loans	8(i)	2,515,000	5,915,784
Secondary Boarding Schools &	8(j)	3,753,040	3,851,211
Administrative Costs	8(k)	3,420,931	1,846,326
Disaster Contingency	8(l)	545,489	671,303
TOTAL PAYMENTS		36,083,342	36,816,044
Increase/(decrease) in Cash		(8,037,923)	9,204,884
Cash at beginning of the year		8,059,025	17,263,909
Cash as at 31st December, 2024		21,102	8,059,025

The Closing balance of K21 102 is inclusive of fees and charged amounting K3,910 which was erroneously deposited into the CDF account which will transferred to District fund account in 2025.

Note: The council erroneously paid K130,857 to a contractor who was undertaking a ward development fund capital project in 2023 from the CDF account which has now been corrected and charged to ward development fund Account. Hence the changed in the closing balance of CDF account from K7,928,168 to K8,059,025.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE DEVOLUTION
GRANT FOR YEAR ENDED 31ST DECEMBER 2024**

		2024	2023
RECEIPTS		Kwacha	Kwacha
Health	9(a)	1,399,782	-
Livestock & Fisheries	9(b)	43,022	-
Roads	9(c)	1,715,472	
Sports	9(d)	237,069	
Archives	9(e)	70,052	-
Cash for Work	9(f)	7,363,833	
sub total		10,829,230	-
Other Receipts			
Cash receipts	9(g)	12,273	
TOTAL RECEIPTS		10,841,503	
PAYMENTS			
Goods & Services	9(h)	5,351,546	-
Assets Acquisition	9(i)	42,150	-
TOTAL PAYMENTS		5,393,696	-
Increase/(decrease) in Cash		5,447,807	-
Cash at beginning of the year		-	
Cash as at 31st December, 2024		5,447,807	-

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR ZDSP CAPITAL
GRANT FOR PERIOD ENDED 31ST DECEMBER 2024**

		2024	2023
RECEIPTS		Kwacha	Kwacha
Funding	10 (a)	2,694,737	-
Other sources		-	-
TOTAL RECIEPTS		2,694,737	-
PAYMENTS	10(b)		
Goods & Services		-	-
Non Financial Assets		-	-
Infrastructure Development		1,413,143	-
Rehabilitation Works		-	-
TOTAL PAYMENTS		1,413,143	-
Increase/(decrease) in Cash		1,281,594	-
Cash at beginning of the year		-	-
Cash as at 31st December 2024		1,281,594	-

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lufwanyama Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2028
- (c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2022 up to 31st December 2025.
- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSASs".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act No. 2 of 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The **Financial** Statements are prepared for Lufwanyama Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2020, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on **13th November 2025** by the ordinary Council Meeting.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act, 2016 authorizes Lufwanyama Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act, 1991 Cap 281 section 69(1) prescribes a system of local taxes by empowering Local Authorities to make by-laws imposing all or any of the following levies:

- A levy on leviable persons carrying on a business, trade or occupation within the area of the council.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- A levy on the purchase or sale of a commodity within the area of the District. This includes levies on sale of livestock, grain and poles.

a. Fees or Charges

Section 70 (1) of the Local Government Act, 1991 as amended by Act 19 of 1992 empowers Local Authorities to impose fees or charges payable to the Council:

- For any licence or permit issued under any by-law or regulation made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits.
- For any service or facility provided or goods or documents supplied by the Council in pursuance of or in connection with the discharge of any function of the Council. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

1.7 Cash at the Beginning and End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is guided by Guidelines on the Management and Utilisation of Constituency Development Fund of 2016. The Council maintains separate bank accounts for each constituency.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions. The Council did not borrow during the period under review.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

(i) Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

(ii) Investments in Other Entities

The Council disclosed the following details about its investments in other entities:

- Name of the entity
- Principal activity of the entity
- Percentage of shareholding in the entity
- Receipts in form of dividends and other returns on the investments

(iii) Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and may of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(iv) Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity that is subject to common with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council.
- (b) Association being entities over which the Council has significant influence.
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close member of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such person is able to exercise significant influence.

The key management personnel of the Council are;

- (a) The Council Chairperson, elected Councilors, Co-opted members of the Audit and Procurement Committees, Chiefs who are part of the Council representing other Chiefs in the District, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority. The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

(v) External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purpose for which assistance will be utilized. Lufwanyama Town Council disclose total external assistance received in cash during the period, total external assistance paid by the agencies from the benefit of the Council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

(vi) Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lufwanyama Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2024	2023
	Kwacha	Kwacha
Residential	23,421	35,583
Industrial/Commercial	349,642	31,007
Mining/Plant	17,209,614	15,876,675
Personal Levy	86,921	52,945
TOTAL	17,669,598	15,996,210

The Council relied on the Valuation Roll updated for the period 2022 – 2027 to determine the property rates receivable.

3. Fees and Charges

The local authority generated cash receipts in form of fees and charges arising from offering various services as follows.

	2024	2023
	Kwacha	Kwacha
Feea and Charges	2,747,345	1,202,929
Land Development Charges	1,221,433	1,678,497
TOTAL	3,968,778	2,881,426

NOTES TO FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2024	2023
	Kwacha	Kwacha
Consent fees	1,935,201	253,118
Change of premise use	-	1,500
Container/Nthemba Fees	-	1,000
Application forms fees	10,765	176,870
Rentals from houses	100,790	80,580
Search fees	2,073	5,330
Hire of halls	-	1,100
Refuse	3,200	1,750
Farm produce levy	336,342	457,212
Building Inspection Fees	5,742	8,708
Communication mast levy	125,000	161,184
Lease of Council Transport/Equipment	7,600	9,750
Penalties	1,300	-
Other fees and charges	168,392	44,827
Site Rentals	41,840	
Club registration fees	8,100	
Notice of marriage	1,000	
	2,747,345	1,202,929

b. Land Development Charges

The Council collected the following land development related charges

Charges Type	2024	2023
	Kwacha	kwacha
Premium Plot- Residential	675,480	847,381
Premium Plot – Commercial	545,953	780,917
Other charges	-	50,199
TOTAL	1,221,433	1,678,497

NOTES TO FINANCIAL STATEMENTS

4. Licenses

A total of K498 966 cash receipts was raised from issuance of various licenses.

Licence Type	2024 Kwacha	2023 Kwacha
Liquor licence	4,232	3,950
Firearm and ammunition licence	14,250	11,409
Petroleum licence	476,434	92,509
Dog licence	4,050	550
TOTAL	498,966	108,418

5. Levies

The Council generated a total of K269 426 cash receipts by charging levies as follows:

Levy Type	2024 Kwacha	2023 Kwacha
Livestock	36,975	31,301
Fish Levy	-	200
Charcoal	164,158	159,940
Timber	65,593	574,332
Other Levies	2,700	-
TOTAL	269,426	765,773

6. Permits

The Council generated a total of K615 632 cash receipts from issuing various permits as follows:

Type of Permit	2024 Kwacha	2023 Kwacha
Health permits	173,424	45,110
Transportation of Opaque beer	-	3,000
Fire certificate	336,254	112,766
Business permits	105,954	71,273
TOTAL	615,632	232,149

NOTES TO FINANCIAL STATEMENTS

7. Local Government Equalisation Fund

a. Funding

	2024	2023
	Kwacha	Kwacha
1st Funding	908,022	842,334
2nd Funding	904,229	820,664
3rd Funding	850,650	842,840
4th Funding	900,816	840,384
5th Funding	907,726	840,384
6th Funding	854,366	841,656
7th Funding	854,366	844,406
8th Funding	903,030	844,406
9th Funding	850,779	844,406
10th Funding	850,649	844,406
11th Funding	848,926	844,406
12th Funding	850,726	837,906
TOTAL	10,484,285	10,088,200

b. Operational Expenditure

The Council applied amounts totaling to **K10 484 285** of LGEF receipts towards meeting operational expenses on Salaries Councillors Monthly Allowances representing 100% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments on notes 7b.

c. Capital Expenditure

The Council applied amounts totalling K461,315 of LGEF receipts towards meeting capital expenditure from the previous balances.. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments note 7c.

NOTES TO FINANCIAL STATEMENTS

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

8(a) FUNDING

	2024	2023
	Kwacha	Kwacha
Community Projects	18,284,260	14,279,546
Disaster Contingency	873,117	806,946
Empowerment Grants	1,380,000	2,689,821
Empowerment Loans	1,742,463	2,689,821
Bursaries	3,756,831	5,379,641
Administrative Costs	1,531,782	1,415,695
sub total	<u>27,568,453</u>	<u>27,261,470</u>

8(b) Loan Repayments

	2024	2023
	Kwacha	Kwacha
Loans Repayments	473,056	328,190
sub total	<u>473,056</u>	<u>328,190</u>

8 (c) Other Receipts

	2024	2023
	Kwacha	Kwacha
Sale of Tender Documents	-	21,500
Other Income - Fees and charges	3,910	-
Total	<u>3,910</u>	<u>21,500</u>

NOTES TO FINANCIAL STATEMENTS

8(d) Infrastructure Development

	2024	Restated 2023
	Kwacha	Kwacha
Construction of Primary Schools	1,110,063	3,766,996
School desks	11,300,599	11,765,000
Construction of Markets	-	-
Construction of Clinic/Health Posts	1,616,279	2,004,427
Construction of Boreholes	657,766	701,918
Construction of Staff houses	1,665,863	3,172,865
Construction of Ablution Blocks	514,062	736,804
Construction of water schemes	-	335,485
Construction of Bridges & Culverts	-	224,924
sub total	16,864,632	22,708,419

Note that expenditure of K130, 857 on construction of primary schools which was erroneously charged to CDF account has been removed and has now been charged to ward development fund account included on Note 19 Non-financial asset acquisition.

8(e) Rehabilitation Works and Upgrades

	2024	2023
	Kwacha	Kwacha
Rehabilitation of Markets	-	16,600
Rehabilitation of Primary schools	-	56,415
Rehabilitation of Health centre	-	48,178
sub total	-	121,193

8(f) Asset Acquisitions

	2024	2023
	Kwacha	Kwacha
Computers & Peripherals	-	18,500
Earth moving Equipment	6,860,035	-
Filing Cabinets	-	44,880
sub total	6,860,035	63,380

8(g) Rural Electrifications

	2024	2023
	Kwacha	Kwacha
Electrification of Market	-	91,748
Electrification of Health centre	-	91,748
Total	-	183,496

NOTES TO FINANCIAL STATEMENTS

8(h) Social Benefits

	2024	2023
	Kwacha	Kwacha
Community Empowerment Grants	2,124,215	1,454,932
sub total	2,124,215	1,454,932

8(i) Loans

	2024	2023
	Kwacha	Kwacha
Empowerment loans	2,515,000	5,915,784
sub total	2,515,000	5,915,784

8(j) Secondary Boarding Schools & Skills Development Bursaries

	2024	2023
	Kwacha	Kwacha
Skills Development	3,334,940	3,528,211
Secondary Boarding Schools	418,100	323,000
sub total	3,753,040	3,851,211

NOTES TO FINANCIAL STATEMENTS

8(k) Administrative Costs

	2024	2023
	Kwacha	Kwacha
Stationery	387,399	234,056
Allowances	2,376,452	1,151,765
Fuel	388,154	220,980
Bank Charges/Admin fees on Loans	80,005	155,783
Transport	90,292	41,800
Mtce of CDF Vehicle	98,629	41,941
sub total	<u>3,420,931</u>	<u>1,846,326</u>

8(m) Disaster Contingency

	2024	2023
	Kwacha	Kwacha
Hospitals, Clinics, RHC	545,489	444,303
Markets	-	7,000
Water Transport	-	220,000
sub total	<u>545,489</u>	<u>671,303</u>

NOTES TO FINANCIAL STATEMENTS

9 DEVOLUTION GRANT

The various elements constituting Statement of Cash Receipts and Payments for Devolution Grants are analyzed as follows:

9(a) FUNDING

	2024 Kwacha	2023 Kwacha
Health	1,399,782	-
Livestock & Fisheries	43,022	-
Roads	1,715,472	-
Sports	237,069	-
Culture	70,052	-
Cash for work	7,363,833	-
sub total	10,829,230	-

9 (b) Other Receipts

	2024 Kwacha	2023 Kwacha
Cash Deposits	12,273	-
	-	-
Sub Total	12,273	-

9(c) Good and Services

	2024 Kwacha	2023 Kwacha
Office Costs	32,331	-
Building Mtce	87,508	-
Plant, Machinery & Vehicle Running Costs	597,864	-
Other Admin Costs	118,916	-
Requisits	221,689	-
Services	4,293,238	-
sub total	5,351,546	-

9(d) Asset Acquisitions

	2024 Kwacha	2023 Kwacha
Computers & Peripherals	24,500	-
Furniture	17,650	-
sub total	42,150	-

NOTES TO FINANCIAL STATEMENTS

10 ZDSP Grant

During the year, the Council received K2 694 737 ZDSP capital Grant

(a) FUNDING

Revenue Source	2024 Kwacha	2023 Kwacha
Min of Finance	2,694,737	-
TOTAL	2,694,737	-

(b) EXPENDITURE

	2024 Kwacha	2023 Kwacha
Admin Expenses	1,400	-
Infrastructure	1,411,743	-
TOTAL	1,413,143	-

The grant is being used for Construction of Market Shelter, Ablution Block and Water Reticulation

11. Other Grants

Revenue Source	2024 Kwacha	2023 Kwacha
Grants from other sources	77,100	1,085,025
Grant in lieu of rates	-	1,000,000
TOTAL	77,100	2,085,025

12. Borrowings

During the year the Council did not contract any loan.

NOTES TO FINANCIAL STATEMENTS

13. Council Commercial Venture

The Council received a surplus of **K26 723** from the Council lodge during the year under review.

	2024	2023
SALES	Kwacha	Kwacha
Liquor Undertaking	754,820	248,472
Hotels, Motels and Resthouses	880,189	578,000
sub total	1,635,009	826,472
EXPENDITURE	Kwacha	Kwacha
Liquor Undertaking	837,200	211,682
Hotels, Motels and Resthouses	639,697	493,724
Others	131,389	33,265
sub total	1,608,286	738,671
Surplus/Deficit	26,723	87,801

14. Other Receipts

The Council received amounts totaling K581 657 in its various bank accounts.

	2024	2023
	Kwacha	Kwacha
Fees & Charges	3,910	-
Loan Repayments & Interest	473,056	-
Interest Received	104,691	-
Other receipts		719,617
sub total	581,657	719,617

15. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Town Council. The Council had categories of staff that were paid as follows:

Grade	2024	2023
	KWACHA	KWACHA
Salaries Division 1	4,217,199	3,554,580
Salaries Division 2	3,909,369	2,873,470
Salaries Division 3	3,183,734	2,474,639
Wages- Division 4	3,291,640	2,561,183
Contracted Staff	2,430,365	-
Other Allowances	26,900	-
TOTAL	17,059,207	11,463,872

16. Use of Goods and Service

General expenditure consists of expenditure incurred on administrative activities

Goods and Services	2024	2023
Expenditure Type	Kwacha	Kwacha
Office Costs	1,415,857	605,700
Buildings, Repair and Maintenance Costs	374,844	520,861
Plant, Machinery and Vehicle Running Costs	4,316,326	2,731,151
Other Administrative Cost	4,888,004	3,480,060
Requisites	754,696	374,954
Services	9,774,985	5,971,892
Travel Expenses	3,567,302	1,758,563
Training	3,863,542	3,914,931
TOTAL	28,955,556	19,358,112

17. Financial Charges

The Council paid nothing in financial charges.

NOTES TO FINANCIAL STATEMENTS

18. Social Benefits

The Council spent a total of K2,124,215 during the year towards Social Benefits to various Women and Youth Groups as start-up capital.

	2024	2023
	Kwacha	Kwacha
Empowerment grants	2,124,215	7,370,716
	<u>2,124,215</u>	<u>7,370,716</u>

19. Non-financial Asset Acquisition

Acquisition of assets involved the following payments: K29, 659, 083

	2024	2023
	Kwacha	Kwacha
Office Furniture	17,650	55,980
Computers & Peripherals	446,448	399,835
Industrial Building (Council Lodge)	1,166,818	1,507,000
Schools	18,108,625	17,878,209
Hospitals, Clinics & Health Posts	3,636,604	5,033,445
Boreholes & Water Reticulatuin	130,731	1,101,321
Earth moving Equipment	4,625,035	355,000
Air conditioner	27,850	30,000
Office Building	392,631	337,810
Market Shelters	911,505	637,822
Motor Vehicles	-	907,200
Motor Bike	-	42,000
Gen Sets	195,186	
sub total	<u>29,659,083</u>	<u>28,285,622</u>

NOTES TO FINANCIAL STATEMENTS

20. Financial Asset

The Council paid a total of **K2,515,000** to various organization's as loans during the year under review.

	2024	2023
	Kwacha	Kwacha
Empowerment loans	2,515,000	5,915,784
sub total	2,515,000	5,915,784

21. Loan Repayments

There were no loan repayments because Council had no loan obligation

22. Other Payments

These relate to sundry items such as Staff creditors and Trade Creditors.

Details	2024	2023
	Kwacha	Kwacha
National Pension Scheme Authority	30,000	-
Terminal Benefits	65,520	89,563
Gratuity	-	-
Leave Travel Benefits	-	8,500
Total	95,520	98,063

23. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

24. Cash balances at the beginning of the year

	2024	2023
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	16,162,362	22,512,657
Cash equivalents	-	-
TOTAL	16,162,362	22,512,657

NOTES TO FINANCIAL STATEMENTS

25. Cash Balances at the end of the year

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2024	2023
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	11,038,366	16,162,362
Cash equivalents	-	-
TOTAL	11,038,366	16,162,362

a. Cash on hand

The Council had no cash at hand

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2024

Account	Bank/Account No.	2024	Restated 2023
		Kwacha	Kwacha
District Fund Account	Zanaco - 011093200158	3,852,906	5,257,161
Capital Account	ZICB- 1000146009004	8,299	198,324
Rural Water Account	Zanaco- 1548892300155	6,760	98,245
Project Account	Zanaco- 1325062300181	5,200	56,438
Service Charge Account	Natsave- 3170124339501	299,439	1,614,831
Fire Services Account	Natsave -3171742525402	20,238	89,253
Loan Revolving Fund Account	Natsave -3171742525401	33,437	28,741
Operations Account	Natsave - 3170124076101	299	70,438
Devolved Sector Grant	Natsave - 3171105179801	5,447,807	-
Ward Development Fund Account	Natsave - 3171757386901	34,561	330,813
CDF Account	Natsave- 3170141448601	6,109	7,811,216
CDF-Revolving Fund	Natsave- 3170141448602	14,994	247,809
Capital Account	Natsave - 3170178013501	1,281,594	271,290
Commercial Venture	Natsave- 3170140852602	26,723	87,801
Total		11,038,366	16,162,361

The council erroneously paid K130,857 to a contractor who was undertaking a ward development fund capital project in 2023 from the CDF account which has now been corrected and charged to ward development fund Account.

NOTES TO FINANCIAL STATEMENTS

c. Cash Equivalents

The Council did not hold treasury bills at the end of the year.

d. Bank Overdrafts

The Council did not have any Bank Overdrafts during the year under review

26. Budget Adjustments and Variances

a. Budget Adjustments

The Budget was adjusted downwards by **K7 681 064** following the none remittance of the Grants in Lieu of Rates by the Ministry and accordingly, the expenditure was adjusted by the same amount.

b. Budget Variances

The budget variances have been explained in accompanying notes

- **Fees and Charges**

The Council planned to generate K2 383 400 from Fees and Charges but collected K3 968 778 resulting in a variance of -67%. The over collection was mainly a result of consent fees received for conversion of Land Tenure from Customary to Leasehold tenure.

- **Licenses**

The Council planned to generate K381 000 from Licenses but collected K498 778 giving a variance of -31%. This was due to increase in petroleum licenses

- **Levies**

The Council planned to collect K392 000 from levies but collected K269 426 giving a variance of 31%. This was due to significant reduction of timber supply by ZAFFICO where we collect timber levy.

- **Zambia Devolution Support Grant**

The Council did not budget for this programme but received K2, 694,737 for Capital grant support during the course of the year under review

- **Other Grants**

The Council budgeted for K1 884 891 for Other grants but only received K77 100 giving a variance of 96% .This was due non remittance of Grant in Lieu of Rates by Ministry of finance

- **Other receipts:**

During the year under review, the Council planned to collect K420 000 but collected K581 657 giving a variance of -38%.

NOTES TO FINANCIAL STATEMENTS

- **Social Benefits**

The Council planned to spend K3 492 463 on Social benefits but spent K2 124 215 giving a variance of 39%.

- **Non-Financial Assets**

The Council planned to spend K19 981 006 on Acquisition of Non-Financial Assets but spent K29 659 083 giving a variance of -48 %. This was due to some projects being carried forward from previous year

- **Other Payments**

The Council planned to spend K1 200 000. On other payments (Liquidation of Staff Creditors and Statutory obligations) but spent K95 920 resulting in a variance of 92%. This was due to non-availability of funds.

27. Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

	2024	2023
	Kwacha	Kwacha
Hand Tools	166,099	-
Fire Prevention	109,256	42,470
Grading of Feeder Roads	1,637,787	943,969
Refuse Collection	65,300	69,303
Rehabilitation/Drilling of Boreholes	130,731	1,101,321
Market Facilities	911,505	638,082
Construction of Bridges and Culverts	2,057,325	970,050
Land demarcation and survey	575,314	105,291
Boards, Councils & Committees	383,490	-
Maintenance of Council Buildings	287,336	432,861
Pool Transport/Heavy Equipment	3,644,733	2,731,151
Protective Clothins	347,535	263,240
Provision of Water Transport	-	180,000
Establishment of street lights	626,389	223,710
Total	10,942,800	7,034,498

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

NOTES TO FINANCIAL STATEMENTS

28. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K77 991 285

	Land and Buildings	Motor vehicles	Plant & Machinery	Equipment & Furniture	TOTAL
	Kwacha	Kwacha	Kwacha	Kwacha	Kwacha
Opening balance	34,734,514	3,964,279	7,306,755	2,326,654	48,332,202
Additions	24,346,914	-	4,625,035.00	687,134	29,659,083
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	59,081,428	3,964,279	11,931,790	3,013,788	77,991,285

29. Investments in Other Entities

The Local Authority did not hold shares in any Company

30. Administered Transactions

The Local Authority does not administer tax collection on behalf of Zambia Revenue Authority.

31. Related Party Disclosures

The following disclosures are made in the financial statements of Lufwanyama Town Local Authority

a. Fringe Benefits Disclosures

The Council Chairperson was provided with a personal-to-holder car, an office and personal Secretary

b. Remuneration of the Councillors

The aggregate remuneration of members of the Local Authority and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lufwanyama Town Local Authority are:

Aggregate Remuneration	K1, 656,000
Number of persons	23

None of the Councillors acquired loans from the Local Authority during the period under Review nor had any outstanding loans.

NOTES TO FINANCIAL STATEMENTS

c. Remuneration of Senior Management

The aggregate remuneration of members of Senior Management and the number of individuals determined on a full-time equivalent basis receiving remunerations from the Local Authority are:

Aggregate Remuneration	K4 217 199
Number of persons	08

32. External Assistance

During the period under review the Local Authority did not receive any external assistance.

33. Third Party Payments

Lufwanyama Town Council during the period under review did not engage in any party's transactions

APPENDICES

LUFWANYAMA TOWN COUNCIL
 DEBT and ARREARS

Narration	OUTSTANDING AMOUNTS	OUTSTANDING AMOUNTS
	1-Jan-2024 ZMW	30-DEC-2024 ZMW
PE'S	-	-
ZAMTEL	-	-
ZESCO	-	-
WATER	-	-
LEGAL COSTS	-	-
NAPSA ARREARS	9,925,985.50	2,372,331.57
NAPSA ARREARS - PENALTIES	43,630.26	-
LASF ARREARS	-	-
LASF ARREARS - PENALTIES	-	-
OTHER PENSION ARREARS	-	-
ZRA PAYE	1,558,024.01	2,689,272.17
ZRA PAYE- PENALTIES	24,800.68	-
TOTALS	11,552,440.45	5,061,603.74